

Message from the CSO | Roundtable Discussion among Outside Officers | Dialogues with Shareholders and Investors | **Corporate Governance** | Risk Management and Compliance | Message from the CFO | Capital Strategies
Environmental Initiatives (Disclosure Based on TCFD Recommendations) | Human Resource Development | Diversity, Equity, and Inclusion | Health and Safety and Social Contribution Activities | Respect for Human Rights
Value Chain Collaboration | Vehicle Safety | Quality and Information Security | Intellectual Property and Privacy

Corporate Governance

Training for Members of the Board of Directors and Audit & Supervisory Board Members

Outside members of the Board of Directors and outside Audit & Supervisory Board members are expected to understand and practice Toyota's spirit of making ever-better cars and *genchi genbutsu* (on-site, hands-on experience) and to contribute to the making of decisions aimed at sustainable growth. For this reason, Toyota offers a variety of opportunities to provide these individuals with the information necessary to perform this expected role.

Also, we provide opportunities for facilitating deeper understanding outside of meetings of the Board of Directors, such as pre-meeting explanations on proposals submitted to the Board of Directors and two-way communication with executives on important management issues and medium- to long-term issues.

Executive Compensation

The amount of executive compensation, the calculation methods used, and the process for determining compensation methods are as follows.

Policy and Process for Determining Compensation

Toyota believes that it is critical to appoint individuals who are capable of practicing product-centered and region-centered management and contributing to decision-making aimed at sustainable growth in accordance with the Toyoda Principles, which describe the Company's founding philosophy. Moreover, these individuals should be able to play significant roles in transforming Toyota into a mobility company in the areas of electrification, intelligence, diversification, and the formation of partnerships. They must also possess the ability to contribute to the resolution of social issues, such as those pertaining to climate change.

Toyota's executive compensation system is an important means to promote various initiatives and is determined based on the following policy.

- The system should encourage members of the Board of Directors to work to improve the medium- to long-term corporate value of Toyota.
- The system should support compensation levels that will allow Toyota to secure and retain talented personnel.
- The system should motivate members of the Board of Directors to practice management based on the same perspective as shareholders and with a stronger sense of responsibility as corporate managers.

The Board of Directors decides by resolution the policy for determining compensation for and other payments issued to each member of the Board of Directors. Compensation amounts and methods are determined in a manner that effectively links them with corporate performance while reflecting the job responsibilities and performance of each individual.

Compensation for outside members of the Board of Directors and outside Audit & Supervisory Board members consists only of fixed compensation. By providing compensation in a manner that is not readily impacted by business performance, this system helps ensure independence from management.

The amounts of compensation and other payments issued to each member of the Board of Directors and the compensation system are decided by the Board of Directors and the Executive Compensation Meeting, which comprises a majority of outside members of the Board of Directors, to ensure the independence of decisions.

The Board of Directors delegates to the Executive Compensation Meeting authority for determining amounts of compensation and other payments issued to each member of the Board of Directors, the executive compensation system, the total amount of compensation for a given fiscal year, and the amount of compensation issued to each member of the Board of Directors.

The Executive Compensation Meeting reviews the executive compensation system and provides advice to the Board of Directors thereon. This body also determines the amount of compensation issued to each member of the Board of Directors in accordance with the policy for determining compensation and other payments issued to each member of the Board of Directors established by the Board of Directors. This decision is made while taking into account such factors as corporate performance as well as individual job responsibilities and performance.

The Board of Directors has judged that such decisions made by the Executive Compensation Meeting are in line with the policy for determining compensation and other payments issued to each member of the Board of Directors.

Compensation for Audit & Supervisory Board members is determined by the Audit & Supervisory Board within the scope decided via resolution of the Ordinary General Shareholders' Meeting.

To decide the compensation for fiscal 2024, the Executive Compensation Meeting met in June, September, October, and December 2023 and in February, March, and April 2024.

Also, preparatory meetings attended solely by outside directors were arranged four times—in July 2023 and in January, February, and April 2024—as forums for discussions in preparation discussions by the Executive Compensation Meeting.

Compensation for members of the Board of Directors was decided with the agreement of all members of the Executive Compensation Meeting.

Major Matters Discussed by the Executive Compensation Meeting

- Revision of compensation levels based on position and responsibilities
- Revision of compensation composition based on position and responsibilities
- Revision of benchmarks and evaluation of results for fiscal 2024
- Determination of individual compensation amounts

Method of Determining Performance-Based Compensation (Bonuses, Share-Based Compensation)

1. Members of the Board of Directors with Japanese Citizenship (Excluding Outside Members of the Board of Directors)

Toyota sets the total amount of compensation that each member of the Board of Directors receives annually at an appropriate level commensurate with position and responsibilities by referencing benchmarks incorporating both Japanese and global companies and based on the degree of each individual's role and other factors.

Short-term incentives and long-term incentives are set at levels so that they respectively account for around 20% and 50% of total annual compensation.

Accordingly, performance-based compensation, which represents the combination of short-term incentives and long-term incentives, accounts for around 70% of total annual compensation. Short-term incentives are provided in the form of cash compensation based on consolidated operating income and the rate of fluctuation of Toyota's market capitalization.* Long-term incentives are provided in the form of share compensation based on multiple financial indicators, a non-financial indicator, and individual performance evaluations.

* Calculated by multiplying the closing price of Toyota's common stock on the Tokyo Stock Exchange by the number of shares issued after deducting treasury stock

Composition of Compensation

Compensation Type	Percentage of Total Compensation	Compensation Method	Policy
Fixed compensation	Approx. 30%	Cash compensation	Percentage of total compensation represented by long-term incentives to be increased to reflect the degree of an individual's role and responsibilities
Short-term incentives	Approx. 20%	Cash compensation	
Long-term incentives	Approx. 50%	Share compensation	

Policies Regarding Performance Evaluation Indicators

Short-Term Incentives	Financial indicators	(1) Consolidated operating income (single year)	Indicator for evaluating Toyota's efforts based on short-term business performance
		(2) Fluctuation of Toyota's market capitalization	Corporate value indicator for shareholders and investors to evaluate Toyota's efforts
Long-Term Incentives	Financial indicators	(3) Consolidated operating income (multiple years)	Indicator for evaluating Toyota's medium- to long-term efforts based on business performance
		(4) Total shareholder return	Corporate value indicator for shareholders and investors to evaluate Toyota's medium- to long-term efforts
		(5) Return on equity	
	Non-financial indicator	(6) Progress of efforts to address sustainability issues	Indicator for evaluating Toyota's medium- to long-term efforts based on the degree of corporate value enhancement
	Individual performance evaluations*		Qualitative evaluations of performance of each member of the Board of Directors

* Performed taking into account factors such as ESG and other initiatives based on the Toyota Philosophy as well as the level of trust in the individual from their peers and the individual's contribution to the development of human resources

Method and Base Value for Performance Evaluation Indicators and Evaluation Result in Fiscal 2024

Short-Term Incentives	Evaluation Weight	Evaluation Method	Base Value	Evaluation Result
(1) Consolidated operating income (single year)	70%	Evaluation of the degree of attainment of consolidated operating income in the given fiscal year using average consolidated operating income over past 10 fiscal years as a base value (set in 2023)	¥2.5 trillion	191%
(2) Fluctuation of Toyota's market capitalization	30%	Comparative evaluation of the fluctuation of Toyota's market capitalization for the given fiscal year (average from January through March), using the market capitalization of Toyota and TOPIX for the prior fiscal year (average from January through March) as base values	Toyota: ¥25.5 trillion TOPIX: ¥1,990.68	

Long-Term Incentives	Evaluation Weight	Evaluation Method	Base Value	Evaluation Result
(3) Consolidated operating income (multiple years)	35%	Evaluation of the degree of attainment of consolidated operating income for the past three years, including the given fiscal year, using average consolidated operating income over past 10 fiscal years as a base value (set in 2023)	¥2.5 trillion	139%
(4) Total shareholder return	17.5%	Comparative evaluation of Toyota's total shareholder return, using the rate of change calculated by dividing the sum of the stock price of Toyota on the last day of the given fiscal year and the aggregate amount of dividend per share during the period from the fiscal year that is four years before the given fiscal year through the given fiscal year by the stock price on the last day of the fiscal year that is five years before the given fiscal year and the rate of change in TOPIX Net Total Return calculated in the same manner as base values	TOPIX: 196.2%	
(5) Return on equity	17.5%	Comparative evaluation of Toyota's return on equity for the given fiscal year, using the levels recommended by the Ito Review as base values	8%	
(6) Progress of efforts to resolve sustainability issues	30%	Evaluation of the degree of contribution of business activities during the given fiscal year in accordance with the six key issues (materiality)	Six key issues (materiality)	